7. *Government Policy:* Government policy can limit fresh entrants to an industry, usually by not issuing licenses. Till about the mid-1980s, the Indian motor car industry was the monopoly of two companies. Even though others sought licenses these were not given.
8. *Expected Retaliation:* The expected retaliation by existing competitors can also be a barrier to potential entrants, especially if existing competitors aggressively try to keep the new entrants out.
9. *Cost of Capacity Additions:* If the cost of capacity additions are high, there will be fewer competitors entering the industry.
10. *International Cartels:* There may be international cartels that make it unprofitable for new entrants.

The Threat of Substitution

New inventions are always taking place and new and better products replace existing ones. An industry that can be replaced by substitutes or is threatened by substitutes is normally an industry one must be careful of investing in. An industry where this occurs constantly is the packaging industry — bottles replaced by cans; cans replaced by plastic bottles, and the like.

To ward off the threat of substitution, companies often have to spend large sums of money in advertising and promotion. The industries that have to worry most are those where the substitutes are either cheaper or better, or are produced by industries earning high profits. It should be noted that substitutes limit the potential returns of a company.

Bargaining Power of the Buyers

In an industry where buyers have control, i.e. in a buyer's market, buyers are constantly forcing prices down, demanding better services or higher quality and this often erodes profitability. The factors one should check are whether:

- A particular buyer buys most of the products (large purchase volumes). If such buyers withdraw their patronage, they can destroy an industry. They can also force prices down.
- Buyers can play one company against another to bring prices down.